Mosquito Joe

Franchise Decision Report

Source: 2025 FDD filed with Wisconsin DFI · Filing year: 2025
Legal entity: Mosquito Joe SPV LLC · Parent: Neighborly Assetco LLC / Dwyer Franchising LLC d/b/a Neighborly / KKR
Report generated: 2026-03-15 · Franchise Decision Radar

Executive Summary

Mosquito Joe has the strongest brand recognition in the mosquito pest control cohort, backed by KKR through the Neighborly platform. It also offers the most useful Item 19 disclosure: a tenure-split that separates first-five-year operators ($214,794 average gross sales) from six-plus-year operators ($432,954 average). This is real data that lets a buyer model their ramp trajectory, and no other brand in the cohort provides it with this clarity.

The cost of that brand and data is high. Mandatory marketing obligations exceed $75,000 per year — the highest in the cohort by a wide margin. The Direct Marketing Program alone ($37,000/year) exceeds most competitors' *total* marketing burden. A 2024 termination spike (24, up from 5 the prior year) caused the system to contract for the first time, with Alabama losing 8 of 9 outlets. The franchisor litigated a franchisee over unpaid DMP fees and won, signaling that these marketing obligations are non-negotiable. The entity structure is a 6-layer SPV securitization chain — the most complex in the cohort.

The tiered royalty (10% on the first $500K, 7% above) genuinely rewards growth, and at high revenue levels Joe's royalty rate becomes the lowest in the cohort. But the marketing floor is punitive at low revenue: at $200K gross sales, franchisor fees consume 36.4% of revenue.

Fee Burden Analysis

Marketing is the story. At every modeled revenue level, Mosquito Joe's marketing obligations dominate the fee structure. The DMP fee ($37,000/year, reduced to $26,000 only after surpassing $450K in prior-year gross sales) creates a high fixed floor that hits hardest when revenue is low. The tiered royalty provides meaningful relief above $500K, but few first-five-year operators reach that threshold (median $287,832).

AT REVENUE	ROYALTY	MARKETING	TECH / OTHER	TOTAL	% OF REV	COHORT RANK
$200,000	$20,000	$44,900	$7,852	**$72,752**	36.4%	4/5
$300,000	$30,000	$46,900	$7,852	**$84,752**	28.3%	4/5
$400,000	$40,000	$48,900	$7,852	**$96,752**	24.2%	4/5
$500,000	$50,000	$39,900	$7,852	**$97,752**	19.6%	3/5

Component breakdown

- **Royalty (10%/7% tiered):** 10% on the first $500K of Gross Sales per territory per calendar year; 7% above $500K. Minimum License Fees begin Year 3: $325/week (Jun–Sep only), Year 4 $400/week, Year 5+ $500/week. The tier break at $500K is the most generous royalty discount in the cohort — but you have to get there first. (pp. 28–29)
- **MAP Fee (Brand Fund, 2% of Gross Sales):** Paid weekly. Covers brand development, internet marketing, advertising materials. (p. 30)
- **Direct Marketing Program ($37,000/year):** Reduced to $26,000 only if prior year Gross Sales reached $450K. Setup fee $1,000 plus mailing list at $0.05/household ($1,250–$1,750). This single line item exceeds most competitors' total marketing obligation. (pp. 30–31)
- **SEO ($325/month):** Per website. May increase up to 30% annually. (p. 31)
- **Local Performance Marketing ($35,000):** First 12 months. Listed as an Item 7 investment line but is a marketing spend obligation. (p. 39)
- **Technology ($371/month):** Plus $25/month per additional territory. Covers ServSuite, Office365, FranConnect, Nextiva, Qvinci. May increase up to 30% annually. (p. 30)
- **Call Center ($199.99/month + $25/closed sale):** Mandatory for rollover and after-hours calls. Paid to Neighborly Service Solutions SPV LLC. (p. 31)

- **Convention (up to $1,000/year):** Plus travel. $2,000 penalty for non-attendance — you pay more for not going than for going. (p. 32)

> **What this means:** At $300K revenue, you keep ~$215K after franchisor fees. At Mosquito Authority with the same revenue, you keep ~$247K. That $32,000/year difference compounds over a 10-year franchise term into $320,000 of additional retained earnings — roughly twice the initial investment at Authority. The question is whether Joe's brand recognition and marketing infrastructure generate enough incremental revenue to justify the cost.

> **THE $500K INFLECTION POINT**
>
> At $500K gross sales, two things happen simultaneously: the royalty drops from 10% to 7% on marginal revenue, and the DMP fee drops from $37,000 to $26,000. Total fees fall from 24.2% (at $400K) to 19.6% (at $500K). This is the most dramatic fee relief in the cohort — but the Item 19 data shows only 35% of first-five-year operators exceed the average of $214,794, meaning most early-stage franchisees are paying the higher rates. (pp. 28–29, 82)

Item 19 Interpretation

Mosquito Joe provides the most analytically useful revenue disclosure in the cohort. The tenure-split structure — separating first-five-year operators from six-plus-year operators — gives a buyer something rare: a data-grounded view of the revenue ramp over time.

Part I: Customer and treatment metrics (410 of 415 businesses)

- **Customer retention: 77%** — meaning roughly 3 in 4 customers return the following season. This is a strong recurring revenue signal for a seasonal business.
- **Recurring customer rate: 89%** — of the customer base in any given year, 89% are repeat customers.
- **Average gross sales per treatment: $90.54** (median $88.62, range $63–$141). Only 41% of businesses are at or above average. (p. 81)

Part II: Revenue by tenure (387 businesses, 12+ months)

TENURE	COUNT	AVERAGE	MEDIAN	HIGH	LOW
First 5 Years	91	$214,794	$287,832	$850,881	$15,980
6+ Years	296	$432,954	$339,460	$1,901,756	$13,884

What the numbers tell you

The first-five-year cohort shows a left-skewed distribution: the **median ($287,832) exceeds the average ($214,794)**, meaning a cluster of very low performers is pulling the average down. The typical early-stage operator does better than the average suggests. Only 35% of first-five-year operators are at or above average — which confirms the low-end tail is significant.

The six-plus-year cohort reverses the pattern: average ($432,954) exceeds median ($339,460), indicating a right-skewed distribution — a few high performers pulling the average up. The typical mature operator earns closer to $339K than $433K.

The jump from early-stage median ($288K) to mature median ($339K) is meaningful but not dramatic — roughly $51K in additional annual revenue. Most of the "growth" in the average is driven by outlier performers (the high is $1.9M).

What to be careful about

- **24 closed businesses excluded.** The FDD excludes businesses that closed during 2024 from the Item 19 calculations. Their revenue (likely low) is not reflected in the averages or medians. This is survivorship bias. (p. 82)
- **No company-owned P&L.** Despite owning 2 locations, no company-owned financial performance data is disclosed. This is a gap — Mosquito Authority and Mosquito Squad both provide company-owned P&Ls. You cannot estimate expense ratios from this FDD alone.
- **Column header errors.** The customers and jobs tables reuse "Average Annual Gross Sales" and "Median Annual Gross Sales" column headers instead of correct labels. This is a copy/paste error in the filed regulatory document — the data values appear correct for their respective metrics, but it is a document quality issue in a filing underlying a six-figure decision. (pp. 82–84)

> **What this means:** Plan for the median, not the average. A first-five-year single-territory operator should model around $288K in gross revenue — which, after $85K in franchisor fees (at that revenue level), leaves approximately $203K for all operating expenses, labor, and owner compensation. You will need to build your own expense model or talk to current franchisees, because this FDD provides no cost data.

Investment Breakdown

Total investment: $150,155–$192,075. The striking feature is how much of it is mandatory marketing: the DMP ($37,000) plus Local Performance Marketing ($35,000) total $72,000 —

roughly 40% of the investment going to marketing before the business serves its first customer.

CATEGORY	LOW	HIGH
Initial Franchise Fee	$42,500	$42,500
Direct Marketing Program (Setup + Annual)	$37,000	$37,000
DMP Mailing List Fee	$1,250	$1,750
Local Performance Marketing (12 months)	$35,000	$35,000
SEO Program Fee (3 months)	$325	$975
Real Property	$0	$6,000
Office Furnishings, Signage & Fixtures	$0	$2,000
Tools, Equipment, Products, Uniforms & Supplies	$5,500	$6,500
Vehicle, Shelving & Decals	$3,000	$10,000
Initial Training	$100	$2,000
Insurance, Office & Marketing Supplies	$6,000	$7,000
Professional Fees	$0	$1,000
Licenses	$100	$3,200
Computer, Internet Devices, Phones, Software Setup	$2,600	$5,100
Deposits	$0	$4,000
Additional Funds — 3 Months	$16,780	$28,050
Total	**$150,155**	**$192,075**

What to know about the major line items

- **Franchise fee ($42,500):** Standardized for a territory of 25,000–35,000 Targeted Households. Average actually paid in 2024: ~$42,245 (range $34,000–$44,725). Discounts available (Community Heroes, VetFran — $8,500 each) but only one discount at a time. Development Agreement pricing for multi-territory: 2 for $85K, 3 for $118.5K. (pp. 24, 28)

- **DMP + Local Performance Marketing ($72,000):** These two mandatory marketing line items alone nearly match Mosquito Authority's entire high-end investment ($127,700). They are fixed costs — they do not scale with revenue. This is the defining cost characteristic of the Mosquito Joe franchise. (p. 39)
- **Vehicle ($3,000–$10,000):** Notably low compared to competitors. Most of the investment cost is marketing, not equipment. (p. 39)
- **Working capital ($16,780–$28,050):** Three months. For a seasonal business with near-zero winter revenue, plan for personal reserves beyond this. (p. 39)

> **What this means:** The investment range is narrow relative to competitors because the biggest line items (franchise fee, DMP, local performance marketing) are fixed. You can control vehicle cost and real property, but $114,500 of the $150,155 low end is non-negotiable (franchise fee + marketing). Compare to Mosquito Authority, where the vehicle alone creates a $30K swing in the range.

System Health

Steady growth in 2022 and 2023 (+22 net franchised units each year), then an abrupt reversal in 2024. Terminations spiked from 5 to 24 — a nearly 5x increase — and the system contracted for the first time in the reporting window.

YEAR	START	OPENED	TERMINATED	CEASED	TRANSFERRED	NET	END COUNT
2022	372	28	6	0	30	+22	394
2023	394	28	5	1	11	+22	416
2024	416	23	24	0	8	−1	415

The 2024 termination spike

24 terminations in a single year against a base of 416 outlets (5.8% termination rate). For context: Mosquito Authority had zero terminations across the entire 3-year window. The geographic concentration is notable — **Alabama went from 9 outlets to 1** (8 terminations in a single state). This suggests either a regional compliance enforcement action or a cluster of underperforming operators, not random attrition.

Transfer volume decline

Transfers dropped sharply: 30 (2022), 11 (2023), 8 (2024). In a healthy system, transfers indicate resale value. The decline could mean fewer buyers, fewer willing sellers, or franchisor

resistance to transfers — worth asking about at Discovery Day.

Company-owned outlets

2 company-owned locations throughout the reporting period. No P&L is disclosed for these locations despite the Item 19 financial performance representation — an unusual omission.

> **What this means:** The 2024 data is a break from the prior trend. A system that grew steadily for years contracted for the first time. The Alabama cluster, the transfer decline, and the DMP litigation (discussed below) paint a picture of a franchisor enforcing compliance aggressively — which may be cleaning up the system or may be driving out operators who cannot sustain the marketing cost structure.

> **2024 ATTRITION IN CONTEXT**
>
> Mosquito Joe's 5.7% attrition rate is second-highest in the cohort (Mosquito Shield: 11.1%, Mosquito Squad: 4.3%, Mosquito Authority: 1.8%, Mosquito Hunters: 0.0%). But Joe's spike is concentrated in one year after two years of stability, which is a different pattern than Shield's sustained high churn. The question is whether 2024 was a one-time correction or the beginning of a trend.

Risk Signals

SPV/securitization entity structure

Mosquito Joe SPV LLC sits within a 6-layer entity chain: KKR at the top, through Neighborly, through Dwyer Franchising, through Neighborly Assetco, to the SPV. All franchise agreements were transferred to the SPV in March 2021. This is the most complex entity structure in the cohort. The practical implication: your franchise agreement is with a special-purpose vehicle, not the operating company. In a default or dispute, the SPV's assets and obligations are ring-fenced from the broader Neighborly platform.

DMP litigation (Bailey case)

The franchisor sued a franchisee (Bailey) for failure to pay Direct Marketing Program fees. The franchisor prevailed at trial (September 2023) and on appeal (April 2025). A counter-suit in Wisconsin alleging fraudulent inducement was dismissed (January 2024). (pp. 21–23)

> **What this means:** The DMP is non-negotiable. The franchisor litigated to enforce it, won, and the decision survived appeal. If you sign a Mosquito Joe franchise agreement, the $37,000/year DMP obligation is a hard floor — do not plan on renegotiating it if revenue disappoints.

2024 termination spike

Discussed above in System Health. 24 terminations versus 5 the prior year. Alabama: 9 outlets to 1. The system contracted for the first time. This is the most significant red flag in the filing. (pp. 84–90)

Item 19 document quality

Column headers for the customers and jobs tables in Part II carry incorrect labels — "Average Annual Gross Sales" and "Median Annual Gross Sales" instead of the appropriate customer/job labels. This is a copy/paste error in a document filed with a state securities regulator. The data values appear correct for their respective metrics, but the error indicates insufficient quality review of the filed document. (pp. 82–84)

Marketing cost structure as operational risk

At $200K gross sales, mandatory franchisor fees consume 36.4% of revenue. The DMP ($37K), MAP (2%), SEO ($3,900), and Local Performance Marketing ($35K in year one) create a marketing cost floor that is independent of revenue. A franchisee generating $150K in gross sales is paying the same marketing fees as one generating $400K. This is the biggest operational risk in the franchise — not because the marketing doesn't work, but because the cost is not proportional to the revenue it generates at lower volumes.

Peer Context

Mosquito Joe occupies a distinctive position in the cohort: strongest brand recognition and best revenue disclosure, but highest marketing costs and second-highest total fee burden. The tiered royalty is a genuine differentiator at high revenue, but most early-stage operators won't reach the threshold where it matters.

Closest comparison: Mosquito Hunters. Both have high fixed marketing costs (Hunters: $37,500 local ad minimum; Joe: $37,000 DMP plus additional). Both are PE-backed with complex fee structures. Hunters has a smaller system (135 vs 415) with zero 2024 terminations, but also lacks the tenure-split revenue data that makes Joe's Item 19 valuable.

Sharpest contrast: Mosquito Authority. Opposite cost profiles. Authority's total fees at $300K are $52,800 (17.6%) versus Joe's $84,752 (28.3%). Authority has zero terminations versus Joe's 24. Authority's investment low end ($54K) is about one-third of Joe's ($150K). The

trade-off: Authority has weaker brand recognition and less sophisticated marketing infrastructure.

Interesting comparison: Mosquito Squad. Similar revenue data quality (Squad provides a company-owned P&L with $20.8M revenue and 25.9% margin), slightly lower total fees ($77,880 at $300K vs $84,752), and a tiered royalty that phases down more gradually (10/9/8%). Squad is $12K–$28K more expensive to enter but $7K/year cheaper to operate.

METRIC	MOSQUITO AUTHORITY	MOSQUITO HUNTERS	MOSQUITO JOE	MOSQUITO SHIELD	MOSQUITO SQUAD
System size	546	135	415	435	226
Investment range	$54K–$127K	$141K–$170K	$150K–$192K	$120K–$157K	$162K–$220K
Fee burden at $300K	$52,800	$80,300	$84,752	$86,000	$77,880
% of revenue	17.6%	26.8%	28.3%	28.7%	26.0%
3-year net growth	+22	+8	+43	+140	+3
2024 attrition	1.8%	0.0%	5.7%	11.1%	4.3%
Royalty rate	10%	10%	10/7%	8%	10/9/8%

Questions for Discovery Day

These questions are derived from specific findings in the Mosquito Joe 2025 FDD. They are designed to surface information the FDD does not fully explain.

1. 24 franchisees were terminated in 2024 — nearly 5x the prior year. Alabama went from 9 outlets to 1. What caused the spike, and was it a one-time correction or an ongoing enforcement initiative?

Item 20, Tables 1–3, pp. 84–90. System contracted for first time.

2. The DMP fee is $37,000/year mandatory. The Bailey litigation confirmed it's non-negotiable. For a franchisee doing $150K–$200K in gross sales, what is the expected ROI on that $37,000, and how do you measure it?

Item 6, pp. 30–31; Item 3, pp. 21–23. DMP alone exceeds most competitors' total marketing.

3. You own 2 locations but provide no company-owned P&L in Item 19. Mosquito Authority and Mosquito Squad both provide company-owned financials. Why is this omitted?

Item 19, pp. 80–84; Item 20, company-owned tables. 2 company-owned locations throughout reporting period.

---

4. The Item 19 Part II column headers for customers and jobs tables carry incorrect labels (copy/paste of gross sales headers). Can you provide corrected tables?

Item 19, Part II, pp. 82–84. Document quality issue in filed regulatory document.

---

5. Transfer volume dropped from 30 (2022) to 11 (2023) to 8 (2024). Is the decline driven by fewer willing buyers, franchisor resistance to transfers, or franchisees choosing not to sell?

Item 20, Table 2, pp. 86–89. Sharp year-over-year decline in transfer activity.

---

6. The tiered royalty (7% above $500K) is the most generous in the cohort. What percentage of franchisees currently reach that threshold, and what is the average time to reach it?

Item 6, pp. 28–29. Only 35% of first-five-year operators are at or above the $214K average.

---

7. The entity structure is a 6-layer SPV chain within the KKR/Neighborly platform. All franchise agreements were transferred to Mosquito Joe SPV LLC in March 2021. If the SPV is sold or restructured, what happens to existing franchise agreements?

Item 1, pp. 10–11. SPV securitization structure is most complex in cohort.

---

8. The Local Performance Marketing investment is $35,000 in the first 12 months. What happens after month 12 — does the spend obligation continue at that level, reduce, or become discretionary?

Item 7, p. 39. Listed as an initial investment line item, not in Item 6 ongoing fees.

---

9. Technology fees ($371/month) and SEO ($325/month) may each increase up to 30% annually. What has the actual annual increase been over the past 3 years?

Item 6, pp. 30–31. 30% annual cap on both; actual increases not disclosed.

---

10. The Item 19 first-five-year median ($287,832) exceeds the average ($214,794), indicating a left-skewed distribution. Can you share the revenue distribution in quartiles or deciles so we can see where the floor is?

Item 19, Part II, p. 82. Only high/low/avg/median disclosed; distribution shape matters for planning.

Source & Methodology

Source document: Mosquito Joe 2025 Franchise Disclosure Document, filed with the Wisconsin Department of Financial Institutions. Regulator-source PDF. SHA-256:
`78400773abfcd9f93207d0437fc41662d2bdc4b082d413871a5b2fb761beb393`

Extraction: Structured data extraction using pdfplumber with manual review. Field-level provenance recorded (source year, state, page number, item reference). Extraction confidence: high (3+ fields spot-checked against source).

Fee modeling: Year 5 assumptions, single territory, 1 owner + 1 technician. Revenue distributed evenly across the year. All mandatory fees enforced. DMP at standard rate ($37,000) for revenue levels below $450K prior-year threshold; reduced ($26,000) at $500K. See fee_modeling_framework.md for full methodology.

Peer comparison: Same methodology applied to all 5 brands in cohort (Mosquito Authority, Mosquito Hunters, Mosquito Joe, Mosquito Shield, Mosquito Squad). All from 2025 FDDs filed with Wisconsin DFI.

Disclaimer: This report is not legal advice, investment advice, or a recommendation to buy or avoid this franchise. It is a structured analysis of publicly available regulatory filings. The buyer should read the actual FDD, consult a franchise attorney, and conduct their own due diligence before making any investment decision.